

**BEFORE THE
FEDERAL MARITIME COMMISSION**

MSRF Inc.	)	)	
	)	)	
	)	)	DOCKET NO. 22-20
	)	)	
<i>Complainant,</i>	)	)	
	)	)	
v.	)	)	
	)	)	
HMM Company Limited,	)	)	
	)	)	
<i>Respondent.</i>	)	)	
	)	)	

ANSWER OF RESPONDENT HMM COMPANY LIMITED

Respondent HMM Company Limited (“HMM”), through the undersigned attorneys, hereby submits this Answer to the complaint in the above-captioned docket.

I. INTRODUCTION

1. Complainant MSRF, Inc. (“MSRF”), by its undersigned counsel, brings this Verified Complaint against Respondent HMM Company Limited (“HMM”) pursuant to 46 U.S.C. Section 41301 to seek reparations for injuries to MSRF caused by Respondent’s violations of the Shipping Act of 1984, as amended, 46 U.S.C. Sections 40101 et seq. (the “Shipping Act”), alleged herein.

This paragraph requires no response as the Complaint speaks for itself.

2. Since the beginning of the COVID-19 pandemic, global ocean carriers, including Respondent named herein, have, as alleged herein, and upon information and belief, unjustly and unreasonably exploited customers, vastly increasing their profitability at the expense of shippers and the U.S. public generally, which bears increased freight cost in the form of inflation.

HMM denies the allegations of paragraph 2.

3. Upon information and belief, the bulk of ocean carriage secured by shippers has traditionally been pursuant to written service contracts, negotiated in advance at reasonable rates. Although a “spot market” for ocean carriage also exists, historically it has been used, upon information and belief, primarily by smaller shippers making small and/or one-time shipments, or for unexpected needs, such as a one-time or seasonal increase in shipping needs for a larger shipper.

Paragraph 3 contains no allegations with respect to HMM. Accordingly, no response is required. To the extent a response is required, HMM denies the allegations in paragraph 3.

4. Even with currently reviving demand, however, global ocean carriers have not returned to the just and reasonable pricing and contracting practices of pre-pandemic times. Instead, they have continued policies and practices that manipulate prices and deliver unprecedented windfall profits to them by forcing shippers into an artificially inflated spot market. A container that in 2019 might have cost approximately \$2,700 to ship from China to the West Coast of the United States now might cost \$25,000 or more on the spot market.

Paragraph 4 contains no allegations with respect to HMM. Accordingly, no response is required. To the extent a response is required, HMM denies the allegations in paragraph 4.

5. MSRF has experienced this misconduct by global ocean carriers firsthand. Respondent agreed to service contracts with MSRF and then refused to provide more than a fraction of the cargo capacity that MSRF requested and needs, even though Respondent overall has continued to operate at or near pre-pandemic capacity.

HMM denies the allegations of paragraph 5.

6. To make matters worse, Respondent then proceeded to engage in a practice of refusing to perform its full commitment under the service contract, instead forcing MSRF to buy space on the inflated spot market.

HMM denies the allegations of paragraph 6.

7. MSRF's written service contract with Respondent included minimum quantity commitments ("MQC") by MSRF to Respondent to tender cargo from various points in Asia for Respondent to transport via ocean vessels to the United States at agreed intervals and for agreed prices.

HMM denies the allegations of paragraph 7.

8. By definition, the service contract required Respondent to "commit[]" to a certain rate or rate schedule and a defined service level, such as assured space, transit time, port rotation, or similar service features."

Paragraph 8 states a conclusion of law which requires no response. To the extent a response is required, HMM denies the allegations in paragraph 8.

9. Shortly after entering into the service contracts with MSRF, Respondent began breaching its contractual service commitments by providing MSRF with hardly any of the agreed allotments of space on their respective (sic) ocean vessels, and instead forcing

MSRF to make alternate transportation arrangements at substantially higher spot market prices.

HMM denies the allegations of paragraph 9.

10. In so doing, Respondent has unjustly and unreasonably disrupted the previously stable and well-established structure of the global ocean freight industry. Now, instead of securing reliable service contracts in advance, MSRF is forced to (1) agree in advance to exorbitant rates for whatever portion of its needed capacity global ocean carriers are willing to cover with service contracts, (2) make up the difference on the spot market, and then (3) rush to the spot market again each time Respondent refuses to honor its limited service commitments.

HMM denies the allegations of paragraph 10.

11. In the May-December 2021 period, Respondent breached its contractual service commitment, providing MSRF only 9 of the 25 containers agreed in the service contract.

HMM denies the allegations of paragraph 11.

II. THE COMPLAINANT

12. Complainant MSRF is a corporation organized under the laws of the State of Delaware with its principal place of business located at 9815 Leland Avenue, Schiller Park, Illinois 60176. MSRF is a “shipper” under its Service Contracts with Respondent pursuant to 46 U.S.C. 40102(23). MSRF was founded in 1995 as a manufacturer and importer of gourmet foods and food gifts. The company’s seasonal and holiday products are sold in big box retailers throughout the U.S. MSRF also sells products licensed by Starbucks, Jim Beam and other prominent brands.

HMM lacks sufficient information upon which to admit or deny the allegations contained in paragraph 12. To the extent a response is required, HMM denies the allegations in paragraph 12.

III. THE RESPONDENT

13. Upon information and belief, Respondent HMM is a company organized under the laws of the Republic of Korea. HMM is a vessel-operating ocean common carrier as that term is defined by 46 U.S.C. § 40102(18) with organization number 001452. HMM’s North American agent is located at 222 West Las Colinas Boulevard, Suite 700, Irving, TX 75039.

Admitted.

IV. JURISDICTION AND LEGAL AUTHORITY

14. The Federal Maritime Commission (“FMC”) has jurisdiction over this Verified Complaint pursuant to 26 U.S.C. §§ 41301 through 41309.

Paragraph 14 states a conclusion of law to which requires no response. To the extent a response is required, HMM denies the allegation of paragraph 14.

15. The FMC has personal jurisdiction over Respondent as an ocean common carrier as that term is defined by 46 U.S.C. Section 40102(18) that has entered into service contracts, as that term is defined by 46 U.S.C. Section 40102(21) with MSRF.

Paragraph 15 states a conclusion of law which requires no response. To the extent a response is required, HMM denies the allegation of paragraph 15.

16. Respondent’s actions alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of MSRF, in violation of 46 U.S.C. Section 41102(c).

Paragraph 16 states a conclusion of law which requires no response. To the extent a response is required, HMM denies the allegations of paragraph 16.

17. Respondent’s actions alleged herein constitute the provision of service in the liner trade that is not in accordance with the rules and practices contained in its service contract with MSRF, in violation of 46 U.S.C. Section 41104(a)(2).

Paragraph 17 states a conclusion of law which requires no response. To the extent a response is required, HMM denies the allegations of paragraph 17.

18. Respondent’s actions, done in connection with its provision of service pursuant to its Service Contracts with MSRF, constitutes unfair and unduly discriminatory practices against MSRF in the matter of rates or charges with respect to the ports for which MSRF contracted with Respondent, in violation of 46 U.S.C. Section 41104(a)(5).

Paragraph 18 states a conclusion of law which requires no response. To the extent a response is required, HMM denies the allegations of paragraph 18.

19. Respondent’s actions with respect to its Service Contracts also have given undue and unreasonable preference and advantage to shippers other than MSRF and imposed undue and unreasonable prejudice and disadvantage on MSRF with respect to the ports for which MSRF contracted with Respondent, in violation of 46 U.S.C. Section 41104(a)(9).

Paragraph 19 states a conclusion of law which requires no response. To the extent a response is required, HMM denies the allegations of paragraph 19.

20. Respondent’s actions in the course of negotiating its Service Contracts with MSRF and providing service to MSRF pursuant to those Service Contracts constitutes unreasonable refusals to deal or negotiate with MSRF, in violation of 46 U.S.C. Section 41104(a)(10).

Paragraph 20 states a conclusion of law which requires no response. To the extent a response is required, HMM denies the allegations of paragraph 20.

V. ALLEGED FACTS

21. Prior to last year, MSRF, like most significant shippers, was able to secure advance service contracts to cover the bulk of its ocean carriage needs at reasonable, pre-negotiated prices.

Paragraph 21 makes no factual allegations with respect to HMM, and hence no response is required.

22. In negotiations for the 2021-2022 shipping year, Respondent refused to provide MSRF enough commitments in its advance service contracts, instead providing only a fraction of the space MSRF needed at substantially higher prices, which MSRF accepted in order to secure such space, believing that such higher prices would fully compensate Respondent for current market disruptions.

HMM denies the allegations of paragraph 22.

23. Respondent then proceeded to breach its limited commitments by refusing to honor its service contract, forcing MSRF to purchase services on the spot market for which it had already contracted with Respondent.

HMM denies the allegations of paragraph 23.

24. MSRF and Respondent entered into a written service contract (SC US2124083) as that term is defined by 46 U.S.C. Section 40102(21) effective as of May 1, 2021.

HMM admits that it entered into a service contract with Respondent. The remainder of paragraph 24 states a conclusion of law which requires no response. To the extent a response is required, HMM denies the remaining allegations of paragraph 24.

25. MSRF and Respondent agreed in the service contract that MSRF would tender a minimum quantity of twenty-five (25) forty-foot equivalent units (FEUs) of cargo for shipment by MSRF via ocean vessels from ports in Asia to the United States, and from ports in the United States to Asia at agreed prices.

HMM admits that HMM entered into the HMM Service Contract with MSRF. The terms of the HMM Service Contract speak for themselves.

26. Despite Respondent's contractual commitment to ship the minimum quantity tendered by MSRF, Respondent has continuously refused to provide MSRF more than approximately 9 of the promised 25 FEUs of that allotted space, forcing MSRF to make alternate transportation arrangements with other common carriers at substantially higher spot market prices or forgo shipping its cargo altogether.

Denied.

27. Upon information and belief, Respondent is capitalizing on its violations of the Shipping Act alleged herein, by re-selling the capacity allotted to MSRF under the service contract to other shippers on the same spot market at substantially higher rates than those to which it agreed in the service contract.

Denied.

**VI. CAUSES OF ACTION
COUNT I: VIOLATION OF 46 U.S.C. § 41102(c)**

28. Complainant repeats and realleges the allegations above as if fully set forth herein.

Paragraph 28 requires no additional response. The above responses are hereby incorporated by reference.

29. The foregoing continuous, ongoing conduct by Respondent in connection with its respective receipt, handling, storage, and delivery of the property of MSRF constitutes a failure by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of MSRF and other shippers, in violation of 46 U.S.C. Section 41102(c).

HMM denies the allegations of paragraph 29.

COUNT II: VIOLATION OF 46 U.S.C § 41104(a)(2)

48. Complainant repeats and realleges the allegations above as if fully set forth herein.¹

Paragraph 48 requires no additional response. The above responses are hereby incorporated by reference.

49. The foregoing conduct by Respondent constitutes provision of service in the liner trade that is not in accordance with the rules and practices contained in its respective service contract with MSRF, to which no exception or exemption applies and which has not been suspended or prohibited by the FMC, in violation of 46 U.S.C. Section 41104(a)(2).

HMM denies the allegations of paragraph 49.

COUNT III: VIOLATION OF 46 U.S.C § 41104(a)(5)

50. Complainant repeats and realleges the allegations above as if fully set forth herein.

¹ The complaint contains no paragraphs 30-47. For clarity and ease of reference, HMM has followed the numbering of the complaint.

Paragraph 50 requires no additional response. The above responses are hereby incorporated by reference.

51. The foregoing conduct by Respondent in the course of providing service to MSRF pursuant to its respective service contract with MSRF, which is continuous and ongoing, constitutes an unfair and unjustly discriminatory practice against MSRF in the matter of rates or charges with respect to the ports identified in each respective service contract, in violation of 46 U.S.C. Section 41104(a)(5).

HMM denies the allegations of paragraph 51.

COUNT IV: VIOLATION OF 46 U.S.C § 41104(a)(9)

52. Complainant repeats and realleges the allegations above as if fully set forth herein.

Paragraph 52 requires no additional response. The above responses are hereby incorporated by reference.

53. The foregoing conduct by Respondent in the course of providing service to MSRF pursuant to its respective service contract with MSRF, which is continuous and ongoing, gives undue and unreasonable preference and advantage to shippers other than MSRF and imposes an undue and unreasonable prejudice and disadvantage to MSRF with respect to the ports identified in each respective service contract, in violation of 46 U.S.C. Section 41104(a)(9).

HMM denies the allegations of paragraph 53.

COUNT V: VIOLATION OF 46 U.S.C § 41104(a)(10)

54. Complainant repeats and realleges each and every allegation above as if fully set forth herein.

Paragraph 54 requires no additional response. The above responses are hereby incorporated by reference.

55. The foregoing conduct by Respondent in the course of negotiating its service contract with MSRF and providing service to MSRF pursuant to that service contract, which is continuous and ongoing, constitutes unreasonable refusal to deal or negotiate with MSRF, in violation of 46 U.S.C. Section 41104(a)(10).

HMM denies the allegations of paragraph 55.

VII. CAUSATION

56. The foregoing alleged illegal acts of Respondent have directly and proximately injured MSRF by forcing MSRF to make alternate transportation arrangements for cargo that was supposed to be shipped by Respondent pursuant to the terms of its respective Service Contracts at substantially higher spot market prices or forgo shipping such cargo altogether.

HMM denies the allegations of paragraph 56.

VIII. COMPLAINANT'S DAMAGES

57. MSRF has been, and continues to be, actually and materially injured by Respondent's continuous conduct in violation of the Shipping Act alleged herein.

HMM denies the allegations of paragraph 57.

58. Respondent's violations alleged herein are causing direct, proximate, and ongoing financial damages to MSRF in an amount already believed to exceed \$1,000,000, currently accruing, and to be further demonstrated in this proceeding.

HMM denies the allegations of paragraph 58.

IX. AFFIRMATIVE DEFENSES

1. The Federal Maritime Commission lacks subject matter jurisdiction over the Complaint.
2. The Complaint fails to state a claim for which relief may be granted.
3. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41102(c).
4. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41104(a)(2).
5. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41104(a)(5).
6. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41104(a)(9).
7. Complainant has not alleged essential elements of a claim under 46 U.S.C. § 41104(a)(10).
8. Complainant failed to comply with the terms of MQC in the HMM Service Contract.
9. The HMM Service Contract contains Complainant's exclusive remedies if space is unavailable on a particular vessel.
10. The HMM Service Contract contains Complainant's exclusive remedies if the cargo tendered by Complainant cannot be shipped.
11. The HMM Service Contract was fully performed by Respondent.
12. The Federal Maritime Commission lacks the authority to award damages for a breach of contract claim. Pursuant to 46 U.S.C. 40502(f), the exclusive remedy for a breach of a contract is an action in an appropriate court.

13. HMM's conduct was reasonable in light of the totality of the circumstances.
14. Any alleged damages sustained by the Complainant were proximately, directly, and solely caused by the acts of third persons over whom HMM had and has no direction or control.
15. In the alternative, and without waiver of any other defenses or affirmative defenses, Complainant has failed to mitigate its damages
16. Respondent retains the right to amend this answer to raise any additional defenses or affirmative defenses which may arise in the course of this proceeding.

Dated: September 13, 2022

COZEN O'CONNOR

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Counsel to Respondent HMM Company Limited

VERIFICATION OF RESPONDENT HMM COMPANY LIMITED

Byeongsu Kang hereby verifies as follows:

1. I am Director, Legal Department of HMM (America), Inc. the U.S. agent of HMM Company Limited.
2. I am authorized to make this verification on behalf of HMM Company Limited.
3. I hereby verify that the facts contained in the foregoing answer and affirmative defenses are true and correct to the best of my knowledge, information, and belief.
4. I verify the foregoing under penalty of perjury under the laws of the United States.

Dated: September 13, 2022



Name: Byeongsu Kang

Title: Legal Director

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on this 13th day of September, 2022, a true and correct copy of the foregoing Answer was served via electronic mail on:

R. Kevin Williams, Esq.
Mark R. Ludwikowski, Esq.
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Counsel for Complainant MSRF, Inc.

/s/
Neil A. Quartaro